

How well does the measure rule work? Not very. The Results Snapshot at the beginning of this chapter shows the results in the “Percentage meeting price target” row. Success varies from 46% (bull markets) to 53% or 54% for bear markets. In other words, price reaches the target about half the time.

Use the measure rule to gauge the amount of profit likely from the trade and weigh the amount of profit against the possible risk of failure. Look for support and resistance levels where price trends were repulsed in the past. Many times price will pause or turn around at these junctions. These values become the risk points for a trade. You can compare the risk with the reward by computing the current price with the measure rule target and the first or second level of support or resistance. Adjust the profit potential to use the anticipated entry price (the measure rule uses the top of the flag on the last day, but your entry price will use the bottom of the flag).

For the stock shown in [Figure 34.6](#), the target is 38.25 (as calculated above), but the entry price is the bottom of the flag, or 42.49 (a penny below the flag bottom) for a potential reward of 4.24 (that is, $42.49 - 38.25$). The first resistance level is at 44, and there is another at 45 (assuming the trade goes against you and price rises). A stop placed at 44.13 or so, slightly above the first resistance level, works well.

Wait for breakout. Take a position in the stock as it breaks out (as price moves outside the flag boundary). If you're swing trading the flag, it's important to get into the trade quickly because the potential gains are small. I would place an order to enter the trade at the flag trendline and monitor the trade closely.

Once price nears the target, as predicted by the measure rule, consider closing out the trade. Since the statistics regarding the success of meeting the predicted price target are poor, be ready to close out the trade sooner than expected. If you wait for price to reach the target, you might turn a profitable trade into a losing one by holding too long.

[Table 34.11](#) shows how flag tilt affects performance. The flag in [Figure 34.1](#) slopes upward (tilts upward). The flag in [Figure 34.4](#) tilts downward. I found that when the flag tilts against the price trend, performance improves.